**UNITED STATES DISTRICT COURT**
**MIDDLE DISTRICT OF NORTH CAROLINA**

DENISE BRAHAM, KARLA PUCKETT, DEVONNA HOBBIE, and KIMBERLY LAWTON, individually and as representatives of a class of participants and beneficiaries on behalf of the LABORATORY CORPORATION OF AMERICA HOLDINGS GROUP BENEFITS PLAN,

Plaintiffs,

v.

LABORATORY CORPORATION OF AMERICA HOLDINGS, WILLIS TOWERS WATSON US LLC, and JOHN DOES 1–20,

Defendants.

1:26-cv-00455-TDS-JGM

**BRIEF IN SUPPORT OF DEFENDANT LABORATORY CORPORATION OF AMERICA HOLDINGS'S MOTION TO DISMISS FOR LACK OF SUBJECT-MATTER JURISDICTION UNDER FED. R. CIV. P. 12(b)(1) AND FAILURE TO STATE A CLAIM UNDER FED. R. CIV. P. 12(b)(6)**

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## I. Introduction

Voluntary benefits insurance ("VBI") is exactly that—voluntary. Employees may choose to purchase this optional coverage, with their own money, to receive fixed cash benefits from third party insurance companies for events such as accidents, hospitalization, or critical illness, or decline it if they decide the coverage is not worth the cost.

Those fixed benefits do not vary with the Plan's investment performance or overall cost structure; participants either receive the promised payout upon a covered event or they do not. That makes VBI a type of defined benefit plan, rather than a defined contribution plan, where benefits depend on the value of participants' individual accounts and are directly affected by fees, expenses, and investment performance.

Plaintiffs elected to enroll in Laboratory Corporation of America Holdings Group Benefits Plan's (the "Plan's") VBI program but now regret that choice, claiming they "were injured because they overpaid for premiums." Compl. ¶ 135. One might expect a complaint premised on such a claim to allege what premiums participants actually paid and compare them to premiums charged in similar plans, in order to show how much they were supposedly overcharged—or that they were even overcharged at all. The Complaint's conclusory allegations do neither. Instead, Plaintiffs substitute rhetoric for substance, devoting page after page to arguing that the VBI program's insurer paid too much in broker commissions and had too low a "loss ratio"—an industry metric measuring insurer profitability across an entire line of business (i.e., large- and small-group, and individual markets). Those metrics are irrelevant to the question at hand: whether the premiums charged to Plan participants were too high. But Plaintiffs' own allegations reveal that Labcorp's premiums were actually comparable to—and often lower than—those in the plans that Plaintiffs identify as comparators.

Plaintiffs thus lack Article III standing twice over. First, where participants in a plan providing fixed, defined benefits such as this one receive the benefits they were

promised, they lack standing to challenge the plan's management. See *Thole v. U.S. Bank N.A.*, 590 U.S. 538, 540, 543–46 (2020). Second, Plaintiffs have not alleged any financial injury at all. Either defect should end this lawsuit.

The Complaint also fails to state a claim for breach of fiduciary duty under ERISA. While Plaintiffs fixate on broker commissions and loss ratios, the Complaint provides no meaningful benchmark for determining whether the premiums participants chose to pay were excessive. And even assuming that commissions and loss ratios were relevant to that inquiry, the Complaint provides no benchmark suggesting those metrics were out of line.

Plaintiffs also fail to plead a prohibited transaction under ERISA. The only "transaction" they identify is the insurer's payment of commissions to the broker—a transaction between third parties, not the Plan. It did not involve Plan assets, because once premiums are paid to the insurer they become the insurer's property. And the Complaint does not plausibly allege that Labcorp caused the payment.

The relief Plaintiffs seek is likewise unavailable under ERISA's civil enforcement provisions. Section 502(a)(2) permits suits only to remedy losses to the plan as a whole, yet Plaintiffs allege only that certain participants who elected voluntary coverage supposedly overpaid premiums. And Section 502(a)(3) authorizes only equitable relief tied to specific property in a defendant's possession, but Plaintiffs seek to hold Labcorp liable for money it never received.

At bottom, Plaintiffs never plausibly allege the one thing their case requires: that participants who voluntarily elected this optional coverage paid too much for it. The Complaint therefore fails to establish standing or state a claim and should be dismissed.

## II. Background

Labcorp provides its employees with a comprehensive package of health and welfare benefits, including traditional medical coverage and other core protections designed to address employees' basic healthcare needs. Recognizing that employees'

circumstances and risk preferences vary, Labcorp also offers optional voluntary benefits insurance ("VBI") that employees may elect if they wish to obtain additional protection beyond those core benefits.

While it is under no obligation to do so, Labcorp is among the increasing number of employers that offer voluntary benefits such as accident, critical illness, and hospital indemnity insurance as supplements to traditional health coverage. Compl. ¶¶ 38, 47–50. These policies are offered and underwritten by third-party insurers and pay fixed cash benefits when specified events occur—such as diagnoses of certain illnesses or hospital stays—providing additional financial support for expenses that traditional medical coverage may not fully address. Id. ¶¶ 39–46. In that respect, the coverage functions like a defined-benefit arrangement: participants who experience a covered event receive the fixed amount specified in the policy, no matter what. Id.

Drawing on its market expertise, the broker helps review potential products and structure a program intended to deliver meaningful value to participants by offering employees a range of optional coverage choices. The insurance carrier, ReliaStar Life Insurance Company ("ReliaStar"), underwrites the policies, establishes premium rates, and pays benefits when covered events occur. Id. ¶¶ 101–102.

Participation in the VBI program is entirely voluntary. During open enrollment, employees decide whether to enroll and, if so, which policies and coverage levels to select. Unlike Labcorp's core health care benefits, which are subsidized by the company, employees who elect VBI coverage pay the full cost of the premiums through payroll deductions. Id. ¶ 38. Prior to enrollment, employees are provided the premiums, coverage levels, and policy terms so they can evaluate the available options and decide whether the additional protection fits their needs and financial circumstances. The program renews each year, allowing employees dissatisfied with the coverage or its cost to reconsider their decision annually. As is common in voluntary insurance arrangements, the insurer pays the broker a commission out of the premiums collected. The amount of those

commissions is negotiated privately between the insurer and the broker. These commissions compensate the broker for services such as customer acquisition, coordinating enrollment, handling policy renewals, and administering the coverage, among other things. Courts have consistently recognized that such compensation does not, without more, render a broker a fiduciary. *Advanced Salon Visions, Inc. v. Lincoln Benefit Life Co.*, No. 08-cv-2346, 2010 WL 3341803, at *7–8 (S.D. Cal. Aug. 25, 2010) (collecting cases). That is because the broker lacks the requisite control over plan assets or decision-making authority—specifically, it does not have the discretion to select insurance policies or approve the payment of premiums. *Mahoney v. J.J. Weiser & Co., Inc.*, 564 F. Supp. 2d 248, 257 (S.D.N.Y. 2008).

The program operates at significant scale, indicating that many Labcorp employees value the supplemental coverage it provides. The number of lives covered by the VBI often approaches 100,000—exceeding the number of employees covered by Labcorp's core benefits programs—reflecting that many employees elected to enroll not only themselves but also their beneficiaries or dependents. Compl. ¶¶ 98–99.

## III. Standards of Review

A court must dismiss an action for lack of subject-matter jurisdiction pursuant to Federal Rule of Civil Procedure 12(b)(1) when it lacks the statutory authority or constitutional power to adjudicate the case. *Nat'l All. for Accessibility, Inc. v. Big Lots Stores, Inc.*, No. 1:11–cv–941, 2012 WL 1440226, at *3 (M.D.N.C. Apr. 26, 2012). The plaintiff bears the burden of establishing that the jurisdictional requirements have been met. Id. To survive dismissal for lack of standing, the plaintiffs' complaint must contain sufficient factual allegations of an injury resulting from the defendants' conduct, accepted as true, to state a claim for relief that is plausible on its face. *Beck v. McDonald*, 848 F.3d 262, 270 (4th Cir. 2017).

A motion to dismiss under Rule 12(b)(6) tests whether the complaint states a plausible claim for relief. Rule 8 does not require detailed factual allegations, but it

demands more than "labels and conclusions" or a "formulaic recitation of the elements." *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 555 (2007). To survive dismissal, a complaint must plead enough factual matter to permit a reasonable inference that the defendant is liable. Id. at 556. Courts therefore disregard legal conclusions and conclusory assertions unsupported by facts, which are not entitled to the presumption of truth. *Ashcroft v. Iqbal*, 556 U.S. 662, 678–79 (2009). The remaining factual allegations must plausibly suggest—not merely be consistent with—liability, assessed in light of "judicial experience and common sense." Id. at 679. Allegations that leave misconduct only possible, or equally consistent with lawful conduct, do not state a claim. *Twombly*, 550 U.S. at 557.

## IV. Argument

### A. The Complaint Fails Every Element of Article III Standing.

Plaintiffs cannot establish standing. Article III requires a plaintiff to establish three elements: (1) an injury in fact, (2) causation—a connection between the alleged injury and the defendant's conduct—and (3) redressability—that the injury is likely to be remedied by a favorable judicial decision. These requirements form the "irreducible constitutional minimum of standing." *Spokeo, Inc. v. Robins*, 578 U.S. 330, 338 (2016) (internal quotation marks omitted). Plaintiffs must satisfy each element, but the Complaint satisfies none.

#### 1. Plaintiffs Allege No Concrete Injury.

Plaintiffs' claims collapse at the threshold because they fail to allege the "first and foremost" requirement of Article III standing—an injury in fact. Id. at 338–39. Their theory is that participants "overpaid for premiums." Compl. ¶ 135. But Plaintiffs do not allege that any participant failed to receive the fixed benefits promised under the policies, and they plead no facts showing what the premiums were or that they exceeded those charged in comparable plans. Each defect independently defeats standing.

## V. Conclusion

For all these reasons, Plaintiffs' Complaint should be dismissed.

Dated: June 15, 2026

Respectfully submitted,

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**CERTIFICATE OF WORD COUNT**

I hereby certify that this brief complies with Local Rule 7.3(d)(1) in that it does not exceed 6,250 words in length, including the body of the brief, headings, and footnotes.

This the 15th day of June, 2026.

/s/ Mark C. Nielsen
Mark C. Nielsen

**CERTIFICATE OF SERVICE**

I certify that, on June 15, 2026, a copy of the foregoing document was filed with the Clerk of the Court using the CM/ECF System, which will send notification of the filing to the parties and counsel of record who are registered with that system.

/s/ Mark C. Nielsen
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